71. Consider the following statements:
An amendment to the constitution of India can be initiated by the:
1. Lok Sabha **2. Rajya Sabha**
3. State Legislatures **4. President**
Which of the above statements is/are correct?
(a) 1 alone (b) 1, 2 and 3
(c) 2, 3 and 4 (d) 1 and 2

Ans. (d) : Under Part-20 of the Constitution, there is a detailed provision of the procedure related to the amendment of the Constitution under Article 368. From the point of view of amending the constitution, the Articles of the Indian Constitution can be divided into three sections – those articles, which can be amended by a simple majority in the Parliament. (ii) Articles which can be amended by a two-third majority in Parliament. (iii) Those articles which can be amended by the acceptance of resolutions of the legislatures of half the states of India with a two-third majority in the Parliament. A motion for amendment can be moved in either House (Lok Sabha, Rajya Sabha) of Parliament but it will be considered passed when it is approved by both the Houses of Parliament by a two-third majority.

72. Consider the following statements about the recent amendments to the Election Law by the Representation of the people (Amendment) Act 1996:
1. Any conviction for the offence of insulting the Indian National flag or the Constitution of India shall entail disqualification for contesting elections to Parliament and State legislatures for six years from the date of conviction.
2. There is an increase in the security deposit which a candidate has to make to contest the election to the Lok Sabha
3. A candidate cannot now stand for election from more than one Parliamentary constituency.
4. No election will now be countermanded on the death of a contesting candidate.
Which of the above statements are correct?
(a) 2 and 3 (b) 1, 2 and 4
(c) 1 and 3 (d) 1, 2, 3 and 4

Ans. (b) : As per the Representation of People Act (RPA), 1951, more constituencies were allowed to contest until in 1996 when the RPA was amended to set the cap at two constituency. Hence statement 3 is not correct. Rest of the given statements is correct.

73. A British citizen staying in India cannot claim Right to:
(a) Freedom of trade and profession
(b) Equality before the Law
(c) Protection of life and personal liberty
(d) Freedom of religion

Ans. (a) : Fundamental rights under Article 15, 16, 19,29 and 30 are exclusive to the citizens of India. Freedom of Trade and Profession comes under article 19(1) (g).

ECONOMY

74. The planning process in the industries sector in India has assumed a relatively less important position in the nineties as compared to that in the earlier period. Which one of the following is not true in this regard?
(a) With the advent of liberalisation, industrial investments/development have largely been placed within the domain of private and multinational sectors.
(b) With markets assuming a central place, the role of central planning in many sectors has been rendered redundant
(c) The focus of planning has shifted to sectors like human resource development, infrastructure, population control and welfare.
(d) The nation's priorities have shifted away from industrial development to rural development.

Ans. (d) : Statement (a), (b) and (c) are true which explains the declining important position of industries sector after nineties in the planning process.

75. Consider the following statements:
Small-scale industries are, in most cases, not as efficient and competitive as the large-scale ones. Yet the Government provides preferential treatment and reservations in a range of products to the small firms because small-scale industries:
1. Provide higher employment on a per unit capital deployment basis.
2. Promote a regional dispersion of industries and economic activities.
3. Have performed better in export of manufactured products than the large scale ones.
4. Provide jobs to low-skill workers, who otherwise may not find employment avenues elsewhere.
Which of the above statements are correct?
(a) 1 and 4 (b) 1 and 2
(c) 2 and 3 (d) 3 and 4

Ans. (b) : Small-scale industries contribution to Indian exports is 35% and in the total manufacturing turnover contributes approximately 40%. Small scale industries have a low capital output ratio and give employment to larger number of workers. As they use raw material they can be dispersed over a wider area.

76. The Economic crisis in the latter half of 1990s most seriously affected Indonesia, Thailand, Malaysia and South Korea. The cause of the crisis was:
(a) Mismanagement of the financial resource and financial sector, in general
(b) The prolonged over-valuation of local currencies vis-a-vis the western currencies.
(c) The downswing and recession in the western economies which earlier provided export market to these export oriented countries.
(d) None of the above

Ans. (a) : Mismanagement of the financial resources and financial sector were major cause for the economic crisis during later half of 1990s that affected these countries.

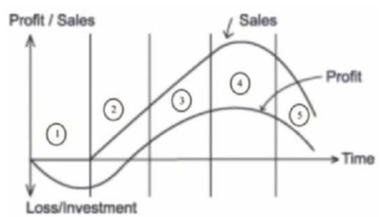
77. The farmers are provided credit from a number of sources for their short and long term needs. The main Source of credit to the farmers include:
(a) The Primary Agricultural Cooperative Societies, Commercial Banks, RRBs and private money lenders
(b) The NABARD, RBI, commercial banks and private money lenders
(c) The District Central Cooperative Banks (DCCB), the lead banks, IRDP and JRY
(d) The Large Scale Multi-Purpose Adivasis Programme, DCCB, IFFCO and commercial banks.

Ans. (a) : Regional rural banks were established under RRB Act 1976. They provide credit to agriculture and other rural activities.

78. The product life cycle from inception to demise is shown in the graph. Match List-I with List-II and select the correct answer using the codes given below the list:

List-I
(Stage)
A. Product Development
B. Maturity
C. Growth
D. Introduction

List-II
(Zone)



Codes:

	A	B	C	D
(a)	1	4	2	3
(b)	1	4	3	2
(c)	4	1	2	3
(d)	4	1	3	2

Ans. (b) : A - 1, B - 4, C - 3, D - 2

79. Which one of the following is the objective of National Renewal Fund?
(a) To safeguard the interests of workers who may be affected by technological upgradation of industry or closure of sick units
(b) To develop the core sector of the economy
(c) For the development of infrastructure such as energy, transport communications and irrigation
(d) For human resource development such as full literacy, employment population control, housing and drinking water

Ans. (a) : The concept of the National Renewal Fund was announced by the Government as a part of the New Industrial Policy, 1991. The Government established the National Renewal Fund (NRF) by a Government of India resolution on 3rd February, 1992.
Assistance from NRF has been provided for the Voluntary Retirement Scheme (VRS) and the scheme of counseling, retraining etc. of workers rationalised from the organised sector. The main objective of the National Renewal Fund was to provide a social safety net to the workers who are likely to be affected by technological up-gradation and modernisation in the Indian industry.

80. Match List-I with List-II and select the correct answer using the codes given below the lists:

List-I	List-II
A. WTO	**1. Provides loans to address short-term balance of payment problems**
B. IDA	**2. Multi-lateral trade negotiation body**
C. IMF	**3. Sanction of soft loans**
D. IBRD	**4. Facilitating lending and borrowing for reconstruction and Development**

Codes:

	A	B	C	D
(a)	2	3	4	1
(b)	2	3	1	4
(c)	3	2	4	1
(d)	3	2	1	4

Ans. (b) : The correct match is as follows–

	List-I	List-II
A.	WTO	Multi-Lateral Trade negotiation body
B.	IDA	Sanction of soft loan
C.	IMP	Provides loans to address short-term balance of payment problems
D.	IBRD	Facilitating lending and borrowing for reconstruction and development.